

THE NCA HUB

Examination Preparation

CANADIAN CONTRACT LAW

COMPREHENSIVE STRATEGIC NOTES

Based on: Ben-Ishai & Percy, Contracts: Cases and Commentaries, 11th ed. (Thomson Reuters, 2022)

McCamus, The Law of Contracts, 3rd ed. (Irwin Law, 2020)

NCA Syllabus: Revised April 2023 | Open-Book | 3 Hours | 100 Marks | Pass: 50%

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HOW TO USE THESE NOTES

These Strategic Notes provide comprehensive, exam-focused coverage of every testable topic on the NCA Canadian Contract Law syllabus (Revised April 2023). They are organized to match the structure of the Ben-Ishai & Percy casebook and are designed as your primary open-book reference in the examination room.

PARAMETER	DETAIL
Format	Open-book. Hard copy only — no electronic devices, tablets, or phones permitted during the examination.
Duration	3 hours (180 minutes)

Pass Mark	50% — pass/fail grading system
Structure	Approximately 4 questions of unequal mark value totalling 100 marks. Based on both sample exams: typically 25 + 25 + 30 + 20 marks. Multiple-choice questions may also appear.
Key Warning	The NCA syllabus states: 'The examination will be based EXCLUSIVELY on these materials. Candidates who acquired their knowledge from different materials are unlikely to pass.' Know the specific cases in the Ben-Ishai & Percy casebook.
Case Citation	Unless citing a case not covered by the syllabus, you need only the case name (not full citation). The exam instructions confirm: 'The name of the case and the name and relevant section of the statute will suffice.'
Exam Style	Problem-based questions. 'Do not feel obliged to provide an initial summary of the facts; rather, deploy the facts in your analysis.' Identify issues → apply law → connect to facts → conclude.
Primary Texts	Ben-Ishai & Percy (casebook, required); McCamus (textbook, strongly recommended); Swan, Adamski & Na, Canadian Contract Law, 4th ed.; Waddams, The Law of Contracts, 6th ed.

Three-Step Exam Method

- **STEP 1 — ISSUE IDENTIFICATION:** Read the question and flag every contractual issue in the margin before writing. Contracts questions often embed 4-6 sub-issues. Missing issues = lost marks regardless of how well you answer the issues you did spot.
- **STEP 2 — RULE + CASE:** For every issue, state the rule with the SPECIFIC case name that establishes it. 'Under *Hadley v Baxendale*, damages are limited to loss that arises naturally or was within the reasonable contemplation of the parties at contracting.' The case name is mandatory.
- **STEP 3 — APPLY TO FACTS:** Connect every rule to the specific facts. Use 'because' to force the connection. 'Because BDL only read the summary page of the geological report and did no independent inspection, it assumed a risk that goes to the heart of what has changed — the reliance was unreasonable.' Bare legal conclusions score nothing.

⚠ EXAM TIP — THE CONTRACTS EXAM IS CASE-DRIVEN

Unlike other NCA subjects, Contract Law is tested through the specific cases in the Ben-Ishai & Percy casebook. The examiner writes questions based on those cases. When you read a fact pattern about tendering, think *Ron Engineering and MJB*. When you see an exclusion clause, think *Tercon*. When you see a modification without new consideration, think *Gilbert Steel*. Master the FACTS and HOLDINGS of the key cases — not just the abstract doctrine.

MASTER CONTRACT LAW FRAMEWORK — Apply to Every Problem Question

Every contracts problem reduces to the same five sequential questions. Work through them in order. Stop and address each before moving on. Missing a question — especially the formation question — cascades into errors throughout.

THE FIVE CONTRACT LAW QUESTIONS — ALWAYS IN THIS ORDER

QUESTION 1 IS THERE A CONTRACT?	Was a valid contract formed? Apply the formation elements: (1) OFFER — a definite proposal intended to be binding on acceptance. Distinguish offers from invitations to treat (advertisements, price lists, calls for tender under the Ron Engineering analysis). An offer can be revoked before acceptance unless it is a firm offer supported by consideration. (2) ACCEPTANCE — unconditional assent to the exact terms of the offer ('mirror image rule'). A counter-offer destroys the original offer (Hyde v Wrench). Acceptance must be communicated. A 'battle of the forms' requires careful analysis. (3) CONSIDERATION — each party must provide something of value. Past consideration is not good consideration. The pre-existing duty rule (Stilk v Myrick; Gilbert Steel). Part payment of a debt (Foakes v Beer). (4) INTENTION — the parties must intend their agreement to be legally binding. Presumed in commercial agreements; presumed NOT to exist in domestic/family arrangements. (5) CERTAINTY — essential terms must be sufficiently definite. Agreements to agree are not enforceable (May & Butcher). IF NO CONTRACT → check for promissory estoppel (detrimental reliance) or restitutionary remedies (quantum meruit).
QUESTION 2 WHAT ARE THE TERMS?	What did the parties actually agree to? This involves: (1) REPRESENTATIONS VS TERMS — did a pre-contractual statement become a term of the contract or remain a mere representation? Test: the parties' intention, reasonable reliance, the representor's special knowledge (Dick Bentley; Heilbut Symons). (2) EXPRESS TERMS — what does the written or oral agreement actually say? (3) IMPLIED TERMS — terms implied in fact (necessary to give business efficacy; so obvious they go without saying — The Moorcock; BP Refinery); terms implied in law (standard to a class of contract); terms implied by custom. (4) INTERPRETATION — how are ambiguous or disputed terms construed? The matrix of fact approach (Sattva Capital 2014 SCC 53). Contra proferentem for ambiguous exclusion clauses. (5) EXCLUSION AND LIMITATION CLAUSES — does the clause cover the breach? Is it enforceable (Tercon three-step test)? (6) GOOD FAITH — the duty of honest performance (Bhasin 2014 SCC 71; CM Callow 2020 SCC 45).
QUESTION 3 IS THE CONTRACT VALID AND ENFORCEABLE?	Even if formed, is the contract valid? Check for vitiating factors: (1) MISTAKE — common mistake (both parties wrong about the same thing — Bell v Lever Brothers); mutual mistake (parties at cross-purposes — Raffles v Wichelhaus); unilateral mistake (one party wrong, and other knows — Smith v Hughes). (2) MISREPRESENTATION — false statement of fact inducing the contract. Innocent (rescission); negligent (tort damages + rescission); fraudulent (all remedies). (3) DURESS AND UNDUE INFLUENCE — consent vitiated by pressure. (4) UNCONSCIONABILITY — inequality of bargaining power + improvident bargain (Harry v Kreutziger). (5) ILLEGALITY AND PUBLIC POLICY — contracts contrary to statute or public policy are void or unenforceable.
QUESTION 4 HAS THE CONTRACT BEEN PERFORMED,	What happened after formation? (1) PERFORMANCE — was the contract performed? Doctrine of substantial performance (Hoenig v Isaacs). Conditions precedent to performance.

EXCUSED, OR BREACHED?	(2) FRUSTRATION — has a supervening event made performance radically different from what was contracted for (Davis Contractors)? Applies to: destruction of subject matter (Taylor v Caldwell); illegality; loss of basis (Krell v Henry). Ontario Frustrated Contracts Act consequences. (3) BREACH — material breach; anticipatory breach. The election: accept the repudiation or affirm and continue (White & Carter).
QUESTION 5 WHAT ARE THE REMEDIES?	If there is a breach, what can the innocent party recover? (1) EXPECTATION DAMAGES — put the plaintiff in the position they would have been in if the contract had been performed. Limited by: remoteness (Hadley v Baxendale — naturally arising OR within reasonable contemplation); duty to mitigate; certainty. (2) RELIANCE DAMAGES — reimburse expenses incurred in reliance on the contract (Anglia Television v Reed). (3) RESTITUTION / QUANTUM MERUIT — restore the value of the benefit conferred to prevent unjust enrichment. Available where contract fails or for quantum meruit on a quasi-contractual basis. (4) SPECIFIC PERFORMANCE — equitable remedy; available where damages inadequate (unique property; personal service contracts generally not enforced). (5) INJUNCTION — equitable remedy to restrain breach. (6) PUNITIVE DAMAGES — available for breach of duty of honest performance (Whiten v Pilot Insurance 2002 SCC 18) and for the independent actionable wrong arising from bad faith breach.

⚠ EXAM TIP — TENDERING IS THE MOST TESTED CONTRACT A/CONTRACT B FACT PATTERN

Both NCA sample exam Q1s involve tendering. The Contract A/Contract B analysis from Ron Engineering and MJB Enterprises is the most frequently tested doctrine in Canadian Contracts. Master it completely: the call for tenders creates Contract A with each compliant tenderer; the awarding of the contract creates Contract B. Know all the implied terms of Contract A (obligation to consider all compliant bids; to award to the lowest compliant bid where the policy manual requires it; duty of fairness). Know Tercon's exclusion clause three-step test cold.

PART I

CONTRACT FORMATION

Chapter 1: Introduction — What Is a Contract?

1.1 Definition and Elements

A contract is a legally enforceable agreement. For an agreement to be a contract enforceable at common law, five elements must be present: offer, acceptance, consideration, intention to create legal relations, and certainty of terms. The absence of any element means no contract was formed.

1.2 The Nature of Contractual Obligation

Contract law reflects freedom of contract — parties can structure their agreements as they choose, within the limits of public policy and good conscience. The court's role is not to improve bargains or protect parties from bad deals, but to enforce what the parties agreed. Two competing values run through the entire subject:

- **AUTONOMY:** parties should be free to make their own bargains and be bound by them. Courts give effect to the agreement as written, not to what a reasonable person would have agreed.
- **FAIRNESS:** the law intervenes where the agreement was made in circumstances of oppression, deception, or radical unfairness (unconscionability, misrepresentation, duress, public policy).

1.3 Categories of Contract

CATEGORY	DESCRIPTION
Bilateral Contract	Both parties make promises. Each party's promise is the consideration for the other's promise. The most common form of contract.
Unilateral Contract	One party makes a promise in exchange for the other party's performance of an act (not a promise to perform). The offeror cannot revoke after the offeree has begun performance. <i>Carlill v Carbolic Smoke Ball Co</i> is the classic case.
Specialty Contract	Made under seal (deed). Consideration is not required — the seal is a formal substitute for consideration.
Quasi-Contract	Not a true contract but an obligation imposed by law to prevent unjust enrichment. Quantum meruit recovery.

1.4 Indigenous Peoples and Contract Law (New 11th Edition Content)

The 11th edition of Ben-Ishai & Percy introduces material on the intersection of Indigenous and Aboriginal law with the common law of contract. This reflects an important development in Canadian legal consciousness and appears as assigned reading in the syllabus (CB 20-24, 29-39).

- **HISTORICAL CONTEXT:** Many early agreements between Crown agents and Indigenous peoples were structured as contracts (trading agreements, land cession treaties, resource-sharing agreements). Courts have grappled with whether standard contract law principles apply to these agreements or whether a distinctive Aboriginal law framework governs.
- **THE HONOUR OF THE CROWN:** The Supreme Court of Canada has recognized that the honour of the Crown governs the Crown's dealings with Indigenous peoples. Where the Crown contracts with Indigenous parties, courts have interpreted ambiguous terms in favour of Indigenous parties (analogous to *contra proferentem*) and have imposed obligations of good faith and meaningful consultation.
- **UNCONSCIONABILITY AND HISTORICAL AGREEMENTS:** Courts have examined whether historical contracts between Indigenous peoples and settlers were valid, given the significant disparities in bargaining power, understanding of the legal consequences, and the Indigenous parties' limited access to independent legal advice. These considerations intersect with unconscionability doctrine.
- **UNDRIP AND MODERN TREATY CONTEXTS:** The United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP), implemented in Canada through federal and provincial legislation, provides a framework for assessing whether agreements involving Indigenous peoples reflect free, prior, and informed consent (FPIC). Modern treaty negotiations operate within this framework.

⚠ **EXAM TIP — INDIGENOUS PEOPLES AND CONTRACTS — EXAM APPROACH**

If a fact pattern involves an agreement with an Indigenous party, a historical treaty-type agreement, or a situation involving the Crown and Indigenous peoples, consider: (1) whether standard offer-and-acceptance analysis applies; (2) whether the honour of the Crown imposes additional obligations; (3) whether unconscionability or lack of free, prior, and informed consent vitiates the agreement; (4) whether ambiguous terms should be resolved in favour of the Indigenous party. Cite the relevant casebook pages (CB 20-24, 29-39) as your authority.

Chapter 2: Offer and Acceptance

Offer and acceptance is the foundational mechanism of contract formation and appears on EVERY NCA Contracts exam. The tendering cases (Ron Engineering, MJB Enterprises, Tercon) dominate both sample exams and are the most important Canadian contract cases you must master. The analysis always begins here.

2.1 Offer — Definition and Identification

An offer is a definite proposal, communicated to the offeree, demonstrating an intention to be bound by that proposal if accepted. An offer must be distinguished from an invitation to treat.

OFFER	INVITATION TO TREAT
A statement from which a binding contract can be formed by the offeree's acceptance alone. The offeror intends to be bound.	An invitation for others to make offers. The 'offeror' retains the right to accept or reject any responses. No contract formed until the invitor accepts.
Example: 'I will sell you my car for \$15,000.' — an offer that can be accepted.	Example: Advertisements in a shop window; a catalogue; a price list — generally invitations to treat.

Advertisements — Generally Invitations to Treat

Partridge v Crittenden [1968]

An advertisement in a magazine offering to sell wild birds was held to be an invitation to treat, not an offer. The offeror could not be bound by unlimited acceptances from all who saw the advertisement. **RULE:** Advertisements are generally invitations to treat because the offeror would otherwise be bound to unlimited numbers of acceptors, potentially impossible to fulfil.

Unilateral Offers — The Exception

Carlill v Carbolic Smoke Ball Co [1893]

The company advertised that it would pay £100 to any person who contracted influenza after using the smoke ball as directed. The court held this was a unilateral OFFER to the world, not merely an advertisement. The company had deposited £1,000 in the bank to show its seriousness. Mrs. Carlill accepted by performing (using the ball as directed). **RULES:** (1) An offer can be made to the whole world; (2) A unilateral offer is accepted by performance, not by a promise to perform; (3) notification of acceptance may be dispensed with in unilateral contracts; (4) consideration is the act of doing what was asked.